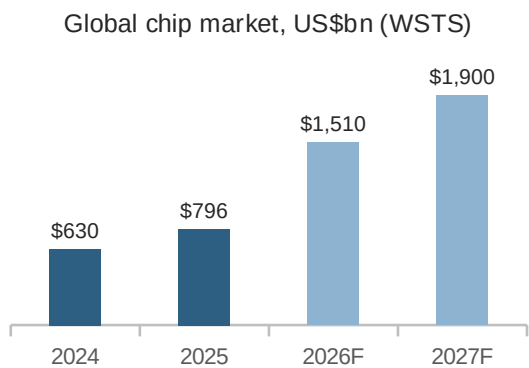


Investment thesis 1: Asia controls AI's hardware bottlenecks

What we own: structural demand for Asian chips, memory and tools, bought in markets that are concentrated, fully priced and violent

1a Demand is structural, and it runs through Asia



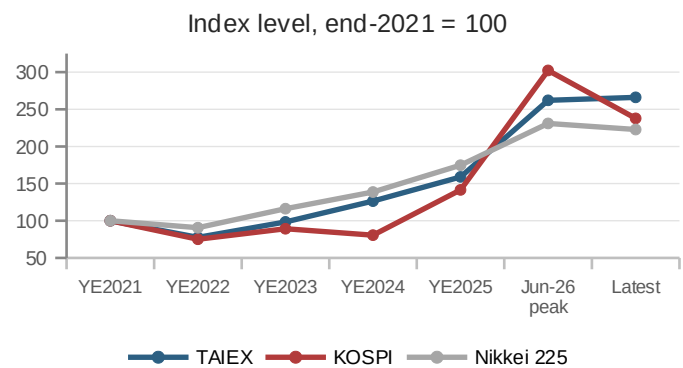
Demand is structural
Hyperscaler capex ~US\$725bn in 2026 (+77%); the chip market nearly doubles to ~US\$1.5trn.

The moat runs through Asia
8 of the world's 10 largest companies depend on TSMC (J.P. Morgan).

...but the cycle is maturing
DRAM price gains slowing: +48% in Q2, ~+13% expected in Q4 2026.

~70%	Taiwan makes the chips: TSMC's share of global foundry revenue; TSMC is >40% of TAIEX. → EWT 15% and 00878 TT 15%
83%	Korea makes the memory: SK hynix + Samsung share of HBM, the memory every AI accelerator needs. → EWY 20%
~55%	Japan makes the tools: Advantest's share of chip test equipment; with Tokyo Electron ≈ 20% of the Nikkei. → 2644 JP 15%; 3119 HK 35% spans the region

1b A strong theme on a violent path



Growth is structural...
TAIEX and KOSPI are 2–3× their end-2022 levels on AI demand.

...but the path is violent
Down 10–25% in 2022; KOSPI fell 8.95% in a single day (13 Jul 2026).

-25%	Round trips happen fast: KOSPI went from 9,000+ in June to 6,789 on 28 Aug; J.P. Morgan expects a 10–15% correction in 2026. → Buying in one go is risky: the note pays on recovery, no timing needed
>40%	Returns hinge on a few names: TSMC >40% of TAIEX; Samsung + SK hynix ~48% of KOSPI; ~92% of advanced chips from Taiwan. → Diversified five-ETF basket, not a worst-of on single names
38.6×	Valuations price in a lot: Nikkei CAPE 38.6×; Taiwan among the most expensive markets; DRAM gains slowing. → Coupons lock in gains if the rally stalls

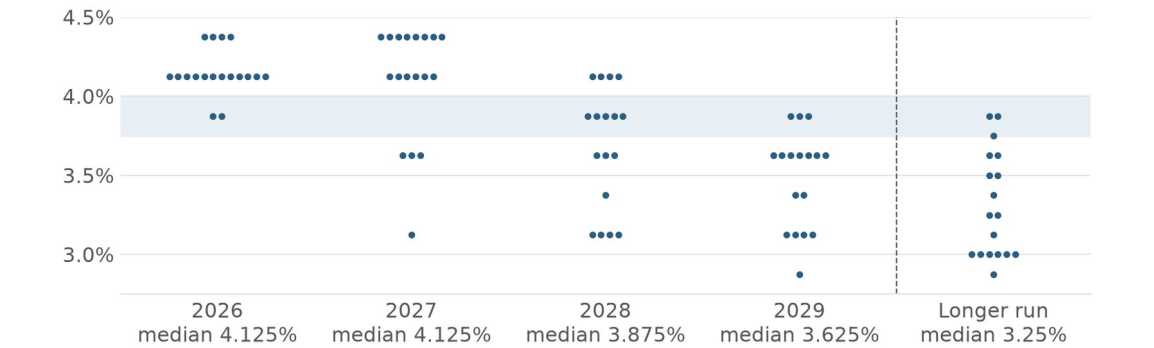
Whichever AI company wins, it needs Asia's chips, memory and tools, but the path to owning them is violent.

Sources: WSTS; company capex guidance; Counterpoint (foundry, HBM); TrendForce (DRAM); industry research (test equipment); J.P. Morgan AWM 2026 Outlook; TWSE, KRX, Nikkei (index levels); FN News, BIT Research (KOSPI); Sibilis (CAPE). Full list: deck/thesis_sources.md.

Investment thesis 2: High rates and record volatility favour an autocall

Why we wrap it: rates stay high, so bonds carry rate risk; volatility is at records, so the option the client sells is worth more than ever

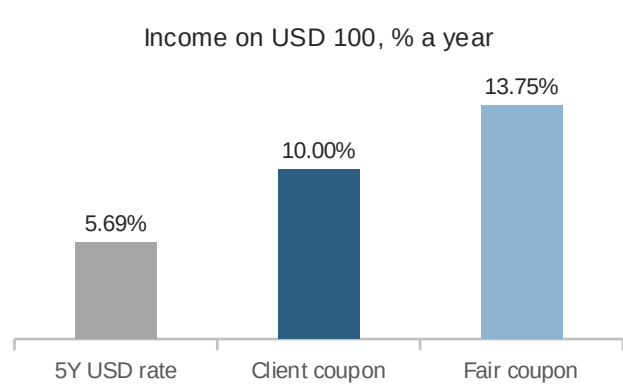
2a Rates stay high for longer



FOMC dot plot, 16 Sep 2026 (shaded: today's 3.75–4.00%). Dots read from the Fed's chart.

4.125%	FOMC median to end-2027, cuts deferred to 2028: 12 of 18 dots at 4.125% for 2026; 4.375% seen by 4 for 2026 and 8 for 2027. → Rate risk is structural, not a one-off
+0.25%	The Fed is hiking again: 16 Sep 2026: to 3.75–4.00%, the first hike since 2023; futures price ~87% odds of at least one more. → Locking in a long fixed rate now is not attractive
–4.0%	Long bonds carry rate risk: a 5-year bond loses ~4.0% per 1% rise in rates. → The note can redeem from year 1: short duration, cash back to reinvest higher

2b Record volatility pays the coupon



Volatility is the client's to sell
In an autocall the client sells options on the basket; the higher the volatility, the more they are worth.

High rates add to it
At 5.69% 5Y USD funding, the forward drift and discounting raise the coupon the note can pay.

91.2	Volatility is at records: VKOSPI closed at an all-time high of 91.2 (9 Jun 2026), above the 2008 peak. → Rich option premium funds a coupon well above bonds
13.75%	Fair coupon a year: Monte Carlo value of the five-ETF annual step-down autocall at today's rates, vols and correlations. → Natixis keeps 3.75% a year for structuring and hedging
10%	Client coupon a year: Paid when the basket is at or above the call level (102.5% in year 1, stepping down to 92.5% in year 5). → Coupons pay while the market swings; 70% barrier checked at maturity only

Rates and volatility make the option the client sells valuable: we turn it into a 10% coupon on Asia's AI hardware.

Sources: Federal Reserve SEP (16 Sep 2026, dots read from chart); Federal Reserve via Advisor Perspectives; fed funds futures; Herald / SBS (VKOSPI); case USD funding grid (5Y 5.69%); standard bond maths; team Monte Carlo pricing (Appendix E: fair coupon 13.752219%).